DETAILED PROJECT REPORT

for setting up a

CUSTOM HIRING CENTRE (CHC) OF FARM MACHINERY

Credit Linked Subsidy Scheme for Rural Entrepreneurs – individual applicant, TFO Rs 29.57 lakh

under the FARM MECHANIZATION SCHEME 2026-27

Department of Agriculture, Government of West Bengal



SUBMITTED BY

RAMPRASAD BISWAS

Individual applicant – farmer, Scheduled Caste (SC)

S/o Sudhir Biswas | Age: 63 years | Male

Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block & P.S. Kultali, Dist. South 24 Parganas, PIN 743349

Mobile: 8116680624 | e-mail: surojit3136@gmail.com

Project site: own bastu land – Mouza Dakshin Durgapur, J.L. No. 37, Dag No. 317, G.P. Deulbari Debipur

PART A – MAIN REPORT

2. APPLICANT PROFILE

2.1 Details of the applicant

Particulars	Details
Name of the applicant	Ramprasad Biswas
Father's name	Sudhir Biswas
Applicant category	Individual farmer (rural entrepreneur)
Age / gender	63 years / Male
Social category	Scheduled Caste (SC)
Address	Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block & P.S. Kultali, Dist. South 24 Parganas, West Bengal, PIN 743349
Mobile / e-mail	8116680624 / surojit3136@gmail.com
Aadhaar No.	XXXX XXXX 7895 (masked)
Voter ID (EPIC) No.	WB/XX/XXX/XXX448 (masked)
PAN	XXXXXX147J (masked)
Bank account	State Bank of India, Kaikhali Branch – A/c No. XXXXXXX5724 (masked), IFSC SBIN0008785
Krishak Bandhu (Natun) / PM-KISAN No.	Krishak Bandhu (Natun): XXXXXXXX2348 (masked); PM-KISAN: if any
Occupation	Farmer; his wife is also a farmer

2.2 Eligibility (FMS 2026-27, Cl. XI)

Condition	Position of the applicant
Farmer registered under Krishak Bandhu (Natun) (Cl. XI(d)(i))	Yes – Krishak Bandhu (Natun) ID XXXXXXXX2348 (masked)
TFO at least Rs 20 lakh; subsidy up to Rs 16 lakh or 40% of TFO, whichever is less (Cl. XI(e)(ii))	TFO Rs 29,57,450; subsidy Rs 11,15,636 (limit Rs 11,82,980)
Land of commercial, bastu or viti class – own, leased or hired; not agricultural land (Cl. XI(d)(ii))	Yes – own bastu land, 2 decimal (Section 5.1)
Age 18–70 years (Cl. XI(d)(iv))	Yes – 63 years
Applicant and spouse are not serving or retired employees of any Govt. body, civic volunteers or contractual staff (Cl. XI(d)(iii))	Yes – both are farmers
No benefit under FSSM, OTA-SFI, FMB/FMH or CHC in 2022-23 to 2025-26 – applicant and spouse (Cl. XI(d)(v))	Yes – no benefit taken
At least 4 types of machines from Annexure-IV; at most 2 tractors (Cl. XI(g))	Yes – 4 types; no tractor
At least 22% of CHC benefits go to SC and 7% to ST applicants (Cl. XI(m)(iii))	Applicant is SC

3. PROJECT AT A GLANCE

3.1 Summary of the project

Item	Details
Applicant	Sri Ramprasad Biswas, S/o Sudhir Biswas – farmer, 63 years, Scheduled Caste
Constitution	Proprietorship (individual)
Experience in business	New venture – his first CHC; a farmer by occupation
Scheme / component	Credit Linked Subsidy Scheme for Rural Entrepreneurs to set up CHCs – FMS 2026-27 (Memo No. 780-AG-11030(11)/1/2024-NAB-SEC, 05.08.2026); back-ended subsidy; approval by the DLSC
Project site	Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block Kultali, Dist. South 24 Parganas, PIN 743349
Land	Own bastu land, 2 decimal – Mouza Dakshin Durgapur, J.L. No. 37, Khatian No. 682, Dag No. 317
Shed	New open shed (mandatory) to be built – Rs 1,10,035, included in TFO
Machinery (4 types)	Combine harvester (track type), power weeder, brush cutter, hand seeding machine – one each
Service output (hours a year)	Combine: 825 hours a year at full capacity (75 days × 11 hours); 495 in Year I, 660 from Year IV. Power weeder and brush cutter: 150 hours each; seeder: 50 days (FA-1)
Working days	Combine: 75 days a year (Aman 50 + Boro 25), 11 hours a day; small implements in kharif and rabi (Section 8.1)
Hire charge (combine)	Rs 2,700 an hour in Year I (about Rs 820 a bigha), rising 3% a year; final rate set with the ADA (Section 6.4)
Total Financial Outlay (TFO)	Rs 29,57,450 = machinery Rs 27,89,515 + shed Rs 1,10,035 + AMC for 18 months Rs 41,900 + insurance for 1 year Rs 16,000
Admissible Govt. subsidy (back-ended)	Rs 11,15,636 (37.72% of TFO) – 40% of each item within the Annexure-IV ceilings (combine capped at Rs 10,00,000); paid in two halves into the Subsidy Reserve Fund (Section 9.2)
Applicant's margin money	Rs 7,39,362 (25% of TFO, the minimum) – deposited with the bank before the subsidy
Bank term loan	Rs 22,18,088 in all: Rs 11,02,452 with interest (repaid by the applicant) + Rs 11,15,636 without interest (covered by the subsidy) (Section 9.3)
Financing bank	State Bank of India, Kaikhali Branch (IFSC SBIN0008785); interest 9% p.a., 6% net after the 3% AIF subvention
AIF convergence	Yes – 3% p.a. interest subvention (Section 9.4)
Service area / crop	Deulbari Debipur G.P. first, then other G.P.s of Kultali (Section 6.1); paddy – Aman and Boro
Implementation	Within 3 months of sanction or by 31 March 2027, whichever is earlier; Year I = 2027-28
Area and bookings	About 218 ha (871 bookings) in Year I, rising to 290 ha (1,162 bookings) from Year IV
Employment	Combine operator and helper (seasonal, 52–69 paid days a year of 11 hours); the applicant runs the CHC himself
Profitability and repayment	Year I: book loss of Rs 0.49 lakh (mainly depreciation); profit after tax Rs 0.23 lakh in Year II, rising to Rs 1.76 lakh in Year VII; cash positive every year; DSCR 1.57–1.64 in the repayment years (average 1.89) (FA-5 to FA-9)

4. PROJECT OBJECTIVE & LOCAL NEED

4.1 Background and local need

Farm machines make farm work timely, raise yields and cut costs. In Kultali block (Sundarbans area), paddy is the main crop and most farmers are small or marginal. They cannot buy costly machines like a combine harvester, and harvest labour is scarce and costly. So harvesting is delayed and crops are lost to rain, cyclones and shattering.

Sri Ramprasad Biswas, a farmer of Dakshin Durgapur, will set up a Custom Hiring Centre (CHC) on his own bastu land. He will hire out machines at reasonable rates, small and marginal farmers first (Cl. XI(c)).

Paddy is grown twice a year (Aman and Boro), so the combine has two harvest seasons. Pulses, oilseeds and vegetables give work to the small implements.

Mechanization through a CHC is needed in the area for:

- timely sowing, weeding and harvesting between two crops;
- higher yields and a lower cost of cultivation;
- less dependence on scarce labour, and less drudgery;
- fewer harvest losses and better quality produce;
- costly machines within reach of small and marginal farmers.

4.2 Objectives of the project

Primary objectives

- To hire out a combine harvester and small implements in the village, small and marginal farmers first.
- To complete paddy harvesting on time and reduce crop losses.
- To reduce the cost of harvesting and the dependence on scarce labour.
- To give the applicant a regular income, and local youth seasonal jobs.
- To increase farm-power availability in Kultali block.

Secondary objectives

- To spread awareness among farmers about modern farm machinery.
- To help farmers get information on Government schemes for agriculture.

5. PROJECT SITE, LAND & SHED DETAILS

5.1 Project site and land

Particulars	Details
Location of the CHC	Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block & P.S. Kultali, Dist. South 24 Parganas, PIN 743349
Mouza / J.L. No.	Dakshin Durgapur / 37
Khatian No.	682
Plot (Dag) No.	317
Area	2 decimal
Classification of land	Bastu (eligible – Cl. XI(d)(ii))
Possession	Own land of the applicant
Approach road	8 ft wide

5.2 Machinery shed

Particulars	Details
Status	Not ready – a new shed will be built
Ownership / location	Own open shed on his own land (mandatory – Cl. XI(e)(i))
Type and size	30 ft long × 20 ft wide × 12 ft high; covered area 600 sq. ft.
Cost included in TFO	Rs 1,10,035 = 3.72% of TFO (limit 5% – Cl. XI(e)(iv)); vetted estimate enclosed
Subsidy on the shed	Rs 44,014 (40% of cost)
Construction	To be ready before the machines are delivered and inspected

The site is the applicant's own land in his home village.

6. SERVICE AREA, MACHINERY DEMAND & BENEFICIARY FARMERS

6.1 Service area

The CHC is in Deulbari Debipur G.P., Kultali block. It will serve this G.P. first, with small and marginal farmers first. It will then serve Gopalganj, Gurguria Bhubaneswari, Jalaberia-I, Jalaberia-II, Maipith Baikunthapur, Merigunj-I, Merigunj-II and Kundakhali Godabar G.P.s and Kultali Municipality.

Particulars	Details
Primary service area	Dakshin Durgapur (CHC site), Deulbari Debipur, Katamari, Madhabpur and Shyamnagar (Deulbari Debipur G.P.)
Secondary service area	The other areas above, after local demand is met; never outside West Bengal (Cl. XI(k)(xv))
Main crop	Paddy – Aman (kharif) and Boro (summer)

6.2 Planned harvesting service (combine harvester)

Year	Capacity utilisation	Working hours	Working days (11 h/day)	Area harvested (ha) at 0.44 ha/hour
I (2027-28)	60%	495	45	217.8
II (2028-29)	70%	578	53	254.3
III (2029-30)	75%	619	56	272.4
IV–VII (2030-31 to 2033-34)	80%	660	60	290.4

Combine capacity: 0.40–0.48 ha/hour; 0.44 is used. Area = hours × 0.44 ha. One booking = 0.25 ha. 75 days (Aman 50 + Boro 25) × 11 hours a day = 825 hours at full capacity.

6.3 Beneficiary farmers

Particulars	Year I	Year IV onward
Hire bookings – combine harvester (no.)	871	1,162
Area harvested (ha)	218	290
Farm families served (approx., indicative)	about 450	about 610
Farmers using the small implements (no.)	about 80	about 110

6.4 Proposed hire charges (Year I)

Machine	Hire charge	Equivalent
Combine harvester	Rs 2,700 per hour	About Rs 6,140 per ha (Rs 820 per bigha)
Power weeder	Rs 250 per hour	–
Brush cutter	Rs 150 per hour	–
Hand seeding machine	Rs 100 per day	–

Rates rise 3% a year. Final rates are fixed with the ADA (Block) and Asstt. DA (Admn) and shown on the signboard (Annexure-V).

7. PROPOSED MACHINERY & TECHNICAL JUSTIFICATION

7.1 Machinery proposed

Sl	Machine and Annexure-IV category	Make, model and dealer	Specification	Qty	Indicative price / cost (Rs)
1	Combine Harvester – self-propelled, track type (Annexure-IV item 19(g): track type, > 6 ft cutter bar)	Escorts Kubota Ltd. Kubota DC-68G Harvesking Pro Dealer: Bengal Agro Machinery Corporation, Purba Bardhaman	Track-type paddy combine; 0.40–0.48 ha/hour	1	26,68,356
2	Power Weeder (Annexure-IV item 6(c): 5 to below 7.5 BHP)	Ralli Agrotech Ltd. Ralli RRT-100P Dealer: Bharat Tractors, Nadia	5.3 hp, 212 cc petrol engine	1	89,397
3	Brush Cutter (Annexure-IV item 46)	Ralli Agrotech Ltd. Ralli BC-52 Dealer: Bharat Tractors, Nadia	52 cc, 2-stroke petrol engine	1	21,367
4	Hand Seeding Machine (Annexure-IV item 35)	Ralli Agrotech Ltd. Ralli RS-12 Dealer: Bharat Tractors, Nadia	Manually operated	1	10,395
	Total cost of machinery (4 types)			**4**	**27,89,515**
5	Add: shed (Section 5.2)			1	1,10,035
6	Add: AMC for 18 months, paid upfront (Section 8.3)			–	41,900
7	Add: insurance, first year (Section 8.3)			–	16,000
	Total Financial Outlay (TFO)				**29,57,450**

7.2 Technical justification

Machine	Operation covered	Why it is needed and how it is sized
Combine harvester (Kubota DC-68G Harvesking Pro)	Reaps, threshes and cleans paddy in one pass	Solves the harvest-labour shortage and cuts crop loss. Track type suits wet fields. One unit covers the 75-day season (825 hours at 11 hours a day).
Power weeder (Ralli RRT-100P)	Weeding and light tillage in small plots	Saves weeding labour and cost; for vegetables and upland crops; 150 hours a year at full use.
Brush cutter (Ralli BC-52)	Cuts weeds and grass on bunds and channels, and fodder and crop residue	Low-cost and portable; keeps bunds clean before sowing; 150 hours a year at full use.
Hand seeding machine (Ralli RS-12)	Line sowing at even spacing and depth	Saves seed and labour; manual, no fuel; for pulses, oilseeds and vegetables; 50 days a year at full use.

The four machines cover sowing, weeding, harvesting and residue cutting – the end-to-end use a CHC needs (Cl. XI(c)(i)).

8. OPERATING PLAN & EMPLOYMENT

8.1 Operating calendar (indicative)

Period	Combine harvester	Small implements
April - May	Boro paddy harvest (local and nearby blocks)	Brush cutter for small plots
June - October	Servicing under AMC; standby	Power weeder and seeder – kharif crops
November - December	Aman paddy harvest - peak season	Brush cutter for small plots and bunds
January - March	Off-season overhaul under AMC	Power weeder and seeder – rabi vegetables

8.2 Staffing and employment

Position	No.	Engagement	Wage (Year I)	Paid days a year	Annual cost, Year I (Rs)
Combine operator (skilled)	1	Hired, seasonal	Rs 3,162.50/day (11 h)	52 (Year I) to 69 (Year IV on)	1,64,450
Helper	1	Hired, seasonal	Rs 825/day (11 h)	52 (Year I) to 69 (Year IV on)	42,900
Total paid staff	**2**				**2,07,350**

Paid days = working days + 15% for travel and standby. An 11-hour day is paid 11/8 of the 8-hour wage (operator Rs 2,300, helper Rs 600). Wages rise 5% a year. The applicant runs the CHC and takes no salary. Small implements are run by him or by local workers paid per job.

8.3 Maintenance and insurance

- AMC: Rs 41,900 for the first 18 months, paid upfront from the TFO (Rs 27,933 in Year I, Rs 13,967 in Year II). After that it is renewed from hire income at Rs 40,000 a year, rising 5% a year from Year V.
- Repairs and spares follow IS 9164 (BIS), so the cost rises with the hours worked. The AMC is part of this cost and is not counted twice (FA-2).
- Insurance: Rs 16,000 a year. Year I is paid from the TFO; later years from hire income.
- Servicing before each harvest; machines are kept under the shed when idle.

8.4 Signboard, records and use of machines

- A signboard with the CHC name, owner, year of financing, subsidy, bank loan, hire rates and phone number; a metal plate on each machine; a receipt for every user; and a hire register (Cl. XI(k)(xvi)–(xviii)).
- Machines go to nearby blocks or districts only after local demand is met, and never outside West Bengal (Cl. XI(k)(xv)). The CHC will not be sold, leased or mortgaged for 6 years (Cl. XI(j)(iii)).

9. PROJECT COST, SUBSIDY & MEANS OF FINANCE

9.1 Total Financial Outlay (TFO)

Component (as in Cl. XI(e)(i))	Included in TFO (Rs)	Remarks
Indicative cost of machinery (4 types – Section 7)	27,89,515	
Open shed, to be built (Section 5.2)	1,10,035	3.72% of TFO (limit 5%); mandatory; vetted estimate enclosed
AMC	41,900	For 18 months; paid upfront to the dealer; renewals from hire income
Insurance	16,000	First year, comprehensive; renewals from hire income
Total Financial Outlay (TFO)	**29,57,450**	**Above the Rs 20 lakh minimum; shed + AMC + insurance = 5.68% of TFO (limit 10%)**

9.2 Admissible subsidy (Annexure-IV)

Sl	Item	Price / cost (Rs)	40% of cost (Rs)	Ceiling – Annexure-IV (Rs)	Admissible subsidy (Rs)
1	Combine Harvester	26,68,356	10,67,342	10,00,000	10,00,000
2	Power Weeder	89,397	35,758	60,000	35,758
3	Brush Cutter	21,367	8,546	20,000	8,546
4	Hand Seeding Machine	10,395	4,158	10,000	4,158
5	New open machinery shed	1,10,035	44,014	–	44,014
6	AMC (18 months, paid upfront)	41,900	16,760	–	16,760
7	Insurance (first year)	16,000	6,400	–	6,400
	Total	**29,57,450**	**–**	**–**	**11,15,636**

Subsidy = 40% of cost or the Annexure-IV ceiling, whichever is less (combine capped at Rs 10,00,000). The total is within the individual limit (40% of TFO = Rs 11,82,980) and above the Rs 8 lakh minimum.

9.3 Means of finance

Sl	Source	Amount (Rs)	% of TFO
1	Margin money (minimum 25%)	7,39,362	25.00%
2	Bank term loan – SBI, Kaikhali Branch (TFO less margin)	22,18,088	75.00%
	(a) Loan without interest – covered by the subsidy	11,15,636	37.72%
	(b) Loan with interest – repaid by the applicant (6% net)	11,02,452	37.28%
	Total = TFO	**29,57,450**	**100.00%**

The subsidy goes into the Subsidy Reserve Fund in two halves of Rs 5,57,818: after loan sanction and margin deposit, and after joint inspection and geo-tagging. It is locked in for 5 years, then set off against the loan without interest. Interest is charged only on the loan with interest.

9.4 Agriculture Infrastructure Fund (AIF)

- A CHC with at least 4 machines is eligible under AIF; this CHC has 4.
- AIF gives 3% p.a. interest subvention on loans up to Rs 2 crore for up to 7 years, plus CGTMSE credit guarantee.
- Repayment follows the FMS rule: 1 grace year, then 5 years in 10 half-yearly instalments (FA-4).

10. EXPECTED ANNUAL INCOME, EXPENDITURE & NET RETURN

10.1 TFO and expected annual return (Annexure-VIII)

Sl	Item	Amount (Rs)	Basis
1	Total Financial Outlay (TFO)	29,57,450	Machinery + shed + AMC + insurance (Section 9.1)
2	(a) Gross annual income (Year I)	13,75,500	Hire income at 60% use (Section 10.2)
3	(b) Total expenditure (Year I)	9,29,017	Operating costs (Section 10.4)
4	**(c) Net income (Year I) = (a) – (b)**	**4,46,483**	**Before interest, depreciation and tax (Section 10.3)**

10.2 Hire income in Year I (2027-28, 60% utilisation)

Machine	Basis	Income (Rs)
Combine harvester	495 hours × Rs 2,700	13,36,500
Power weeder	90 hours × Rs 250	22,500
Brush cutter	90 hours × Rs 150	13,500
Hand seeding machine	30 days × Rs 100	3,000
Total		**13,75,500**

10.3 Annual income, expenditure and net return

	Particulars	Year I (2027-28)	Year IV (2030-31, 80%)
A	Gross hire income	13,75,500	20,03,822
B	Operating expenditure (Section 10.4)	9,29,017	15,83,137
C	**Net operating income (A – B)**	**4,46,483**	**4,20,685**
D	Interest on the loan (6% net)	66,147	36,381
E	Depreciation (non-cash)	4,29,431	2,64,989
F	Net profit before tax	-49,095	1,19,315
G	Income tax (nil – FA-3)	0	0
H	**Net profit after tax**	**-49,095**	**1,19,315**
I	Add: AMC and insurance already paid from TFO	43,933	0
J	Cash surplus (H + E + I)	4,24,269	3,84,304
K	Loan principal repaid	0 (grace year)	2,20,490
L	**Net cash after loan repayment**	**4,24,269**	**1,63,814**

For the application form (Annexure-VIII): area 218 ha in Year I and 290 ha from Year IV; TFO Rs 29,57,450; Year I income Rs 13,75,500, expenditure Rs 9,29,017, net income Rs 4,46,483. Year-wise accounts are in Part B (FA-6 to FA-9).

10.4 Operating expenditure, Year I (Rs)

Fuel and lubricants	Operator and helper	Shifting of combine	Small implements running	Repairs and spares	AMC	Insurance	Miscellaneous	Total
4,25,700	2,07,350	62,458	28,545	1,03,031	27,933	16,000	58,000	9,29,017

11. SWOT / RISK MANAGEMENT

11.1 SWOT analysis

	Points
Strengths	1. A local farmer who knows the farmers and their needs. 2. Combine harvesting is in demand in both paddy seasons. 3. Subsidy (37.72% of TFO) and AIF subvention cut the debt burden; average DSCR 1.89. 4. Own land for the CHC and its shed. 5. Low hire rate (Rs 2,700 an hour, about Rs 820 a bigha) and 11-hour days, so more farmers are served.
Weaknesses	1. Depends on a hired combine operator. 2. Most income comes from one machine in two short seasons. 3. Thin margin at this rate: a small book loss in Year I; profit depends on working the planned hours.
Opportunities	1. Shortage of farm labour at harvest time. 2. Two paddy seasons a year.
Threats	1. Rise in diesel price. 2. Breakdown at harvest time. 3. Operator not available. 4. Rain or cyclone at harvest time.

11.2 Risk management

Risk	Mitigation
Rise in diesel price	Review hire rates each year with the ADA; plan routes to save fuel.
Breakdown during the harvest season	AMC for 18 months, then renewed; 1-year warranty and 4-year after-sales service (Cl. VIII(B)(i)); servicing before each season; spares in stock.
Operator not available	Written agreement with an operator each season; a trained back-up from local youth.
New to running a CHC	Training by the supplier; guidance from the ADA; simple records.
Accident, damage or theft	Insurance (Rs 16,000 a year); parking under the shed; GPS tracking (telematics kit).

12. DECLARATION BY THE APPLICANT

I, Ramprasad Biswas, S/o Sudhir Biswas, of Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block Kultali, Dist. South 24 Parganas, declare that:

1. The information in this report is true to the best of my knowledge and belief.

2. My wife and I have taken no benefit under FSSM, OTA-SFI, FMB/FMH or CHC in 2022-23 to 2025-26.

3. I will set up and run the CHC as per the FMS 2026-27 guidelines and my agreement with the DDA (Admn) (Annexure-V).

Place: Dakshin Durgapur, Kultali

Date: _____

Signature of the applicant: _____ (Ramprasad Biswas)

PART B – FINANCIAL ANNEXURE

FA-1 Capacity and hire income (Rs)

Particulars	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34	Total
Capacity utilisation	60%	70%	75%	80%	80%	80%	80%	–
Harvester working hours	495	578	619	660	660	660	660	4,332
Hire charge per hour (Rs)	2,700	2,781	2,864	2,950	3,039	3,130	3,224	–
Harvester hire income	13,36,500	16,07,418	17,72,816	19,47,000	20,05,740	20,65,800	21,27,840	1,28,63,114
Small implements hire income	39,000	46,865	51,719	56,822	58,526	60,282	62,091	3,75,305
Total hire income	**13,75,500**	**16,54,283**	**18,24,535**	**20,03,822**	**20,64,266**	**21,26,082**	**21,89,931**	**1,32,38,419**

Basis – combine harvester	Details	Small implement	Use at 100% capacity	Hire charge	Income at 100% (Rs)
Number of units	1	Power weeder	150 hours	Rs 250 per hour	37,500
Hours of operation a day	11	Brush cutter	150 hours	Rs 150 per hour	22,500
Harvest-season window	75 days (Aman 50 + Boro 25)	Hand seeding machine	50 days	Rs 100 per day	5,000
Working hours at 100% capacity	825 hours a year	Total			65,000

Working hours = 825 × utilisation (75 days × 11 hours). Harvester income = working hours × hire charge per hour (Rs 2,700 in Year I, +3% a year). Small-implement income = Rs 65,000 × utilisation × 1.03^(year – 1).

FA-2 Operating expenditure (Rs)

Particulars	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34	Total
Fuel and lubricants	4,25,700	5,11,992	5,64,760	6,20,232	6,38,839	6,58,004	6,77,744	40,97,271
Operator and helper wages	2,07,350	2,51,213	2,85,754	3,18,506	3,34,431	3,51,153	3,68,711	21,17,118
Harvester shifting charges	62,458	72,436	82,861	89,577	92,265	95,033	97,884	5,92,514
Small implements running and fuel	28,545	34,617	38,557	42,758	44,458	46,229	48,075	2,83,239
Repairs and spares (IS 9164, less AMC)	1,03,031	2,21,968	3,05,169	3,88,922	4,38,477	4,80,715	5,17,828	24,56,110
AMC (Rs 41,900 for 18 months from TFO, then renewal)	27,933	33,967	40,000	40,000	42,000	44,100	46,305	2,74,305
Insurance (Rs 16,000 a year; Year I paid from TFO)	16,000	16,000	16,000	16,000	16,000	16,000	16,000	1,12,000
Miscellaneous expense (semi-fixed)	58,000	60,900	63,945	67,142	70,499	74,024	77,726	4,72,236
Total operating expenditure	**9,29,017**	**12,03,093**	**13,97,046**	**15,83,137**	**16,76,969**	**17,65,258**	**18,50,273**	**1,04,04,793**

Fuel – combine harvester	Details	Manpower (Year I)	No.	Wage	Paid days	Annual cost (Rs)
Fuel requirement per hour	8 litres	Combine harvester operator	1	Rs 3,162.50/day	52	1,64,450
Working hours at 100% capacity	825 hours	Helper	1	Rs 825/day	52	42,900
Fuel requirement at 100% capacity	6,600 litres a year	Total	2			2,07,350
Fuel cost at 100% capacity (Rs 100/litre)	Rs 6,60,000					
Year I fuel (60%) + lubricants 7.5%	Rs 3,96,000 + Rs 29,700 = Rs 4,25,700					

FA-3 Depreciation and income tax (Rs)

Book depreciation (WDV)	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34	Total
Machinery @ 15%	4,18,427	3,55,663	3,02,314	2,56,967	2,18,422	1,85,658	1,57,810	18,95,261
Shed @ 10%	11,004	9,903	8,913	8,022	7,219	6,497	5,848	57,406
Total depreciation for the year	**4,29,431**	**3,65,566**	**3,11,227**	**2,64,989**	**2,25,641**	**1,92,155**	**1,63,658**	**19,52,667**
Closing value – machinery	23,71,088	20,15,425	17,13,111	14,56,144	12,37,722	10,52,064	8,94,254	–
Closing value – shed	99,031	89,128	80,215	72,193	64,974	58,477	52,629	–
Closing value – total	24,70,119	21,04,553	17,93,326	15,28,337	13,02,696	11,10,541	9,46,883	–

Income tax computation	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34	Total
Net profit before tax	-49,095	22,784	66,652	1,19,315	1,38,504	1,58,747	1,76,000	6,32,907
Add: depreciation as per books	4,29,431	3,65,566	3,11,227	2,64,989	2,25,641	1,92,155	1,63,658	19,52,667
Add: AMC and insurance from TFO met by subsidy (40%)	17,573	5,587	0	0	0	0	0	23,160
Less: tax depreciation – machinery (15% WDV on Rs 17,41,053)	2,61,158	2,21,984	1,88,687	1,60,384	1,36,326	1,15,877	98,496	11,82,912
Less: tax depreciation – shed (10% WDV on Rs 66,021)	6,602	5,942	5,348	4,813	4,332	3,898	3,509	34,444
Taxable profit (total income)	**1,30,149**	**1,66,011**	**1,83,844**	**2,19,107**	**2,23,487**	**2,31,127**	**2,37,653**	**13,91,378**
Tax at new-regime slab rates (s. 202)	0	0	0	0	0	0	0	0
Less: rebate u/s 156 (up to Rs 12 lakh)	0	0	0	0	0	0	0	0
Income tax payable (incl. 4% cess)	0	0	0	0	0	0	0	0

Book depreciation is on full cost; tax depreciation is on cost less subsidy. Hire income is business income. Tax uses the new regime (s. 202, Income-tax Act, 2025) and assumes no other income. Taxable income stays below Rs 4 lakh (the nil slab), so no tax is payable. Actual tax depends on his total income.

FA-4 Repayment of the loan with interest (Rs)

Year	Opening balance	Interest @ 9%	Less: AIF subvention @ 3%	Net interest @ 6% (paid by the applicant)	Principal	Closing balance
I (2027-28)	11,02,452	99,221	33,074	66,147	0 (grace)	11,02,452
II (2028-29)	11,02,452	94,260	31,420	62,840	2,20,490	8,81,962
III (2029-30)	8,81,962	74,416	24,806	49,610	2,20,490	6,61,472
IV (2030-31)	6,61,472	54,571	18,190	36,381	2,20,490	4,40,982
V (2031-32)	4,40,982	34,727	11,575	23,152	2,20,490	2,20,492
VI (2032-33)	2,20,492	14,883	4,961	9,922	2,20,492	0
Total		**3,72,078**	**1,24,026**	**2,48,052**	**11,02,452**	

Interest assumed at 9% p.a. on the reducing balance; he pays 6% after the 3% AIF subvention. One grace year, then 10 half-yearly instalments of Rs 1,10,245 (last Rs 1,10,247); no early repayment (Cl. XI(j)). The loan without interest is set off from the Subsidy Reserve Fund after this loan is repaid.

FA-5 Debt service coverage ratio (DSCR) (Rs)

Debt service coverage	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	Total (I–VI)
Net profit after tax	-49,095	22,784	66,652	1,19,315	1,38,504	1,58,747	4,56,907
Add: depreciation	4,29,431	3,65,566	3,11,227	2,64,989	2,25,641	1,92,155	17,89,009
Add: net interest	66,147	62,840	49,610	36,381	23,152	9,922	2,48,052
Add: AMC and insurance from TFO	43,933	13,967	0	0	0	0	57,900
(A) Cash available for debt service	**4,90,416**	**4,65,157**	**4,27,489**	**4,20,685**	**3,87,297**	**3,60,824**	**25,51,868**
Net interest (6% p.a.)	66,147	62,840	49,610	36,381	23,152	9,922	2,48,052
Principal repaid	0	2,20,490	2,20,490	2,20,490	2,20,490	2,20,492	11,02,452
(B) Total debt service	**66,147**	**2,83,330**	**2,70,100**	**2,56,871**	**2,43,642**	**2,30,414**	**13,50,504**
DSCR = (A) ÷ (B)	**7.41**	**1.64**	**1.58**	**1.64**	**1.59**	**1.57**	**1.89 (average)**

DSCR = (A) ÷ (B). Year I is interest only. Average 1.89 (Years II–VI: 1.61; lowest 1.57) – above the 1.25–1.50 banks usually need.

FA-6 Projected profit and loss account (Rs)

Profit and loss account	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34	Total
Hire income – combine harvester	13,36,500	16,07,418	17,72,816	19,47,000	20,05,740	20,65,800	21,27,840	1,28,63,114
Hire income – small implements	39,000	46,865	51,719	56,822	58,526	60,282	62,091	3,75,305
(A) Total hire income	**13,75,500**	**16,54,283**	**18,24,535**	**20,03,822**	**20,64,266**	**21,26,082**	**21,89,931**	**1,32,38,419**
(B) Operating expenditure (FA-2)	9,29,017	12,03,093	13,97,046	15,83,137	16,76,969	17,65,258	18,50,273	1,04,04,793
(C) Operating profit (A – B)	**4,46,483**	**4,51,190**	**4,27,489**	**4,20,685**	**3,87,297**	**3,60,824**	**3,39,658**	**28,33,626**
Interest, net of AIF subvention (FA-4)	66,147	62,840	49,610	36,381	23,152	9,922	0	2,48,052
Depreciation (FA-3)	4,29,431	3,65,566	3,11,227	2,64,989	2,25,641	1,92,155	1,63,658	19,52,667
(D) Net profit before tax	**-49,095**	**22,784**	**66,652**	**1,19,315**	**1,38,504**	**1,58,747**	**1,76,000**	**6,32,907**
Income tax (FA-3)	0	0	0	0	0	0	0	0
(E) Net profit after tax	**-49,095**	**22,784**	**66,652**	**1,19,315**	**1,38,504**	**1,58,747**	**1,76,000**	**6,32,907**
Drawings by the owner (60% of E)	0	13,670	39,991	71,589	83,102	95,248	1,05,600	4,09,200
Profit kept in the business	-49,095	9,114	26,661	47,726	55,402	63,499	70,400	2,23,707

Figures come from FA-1 to FA-4. Year I shows a book loss of Rs 49,095 because depreciation is highest in the first year; there are no drawings that year. From Year II the owner takes 60% of the profit after tax for his household; the rest stays in the business.

FA-7 Projected cash flow statement (Rs)

Cash flow	0 (set-up) 2026-27	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34
Margin money (own capital)	7,39,362	0	0	0	0	0	0	0
Loan with interest	11,02,452	0	0	0	0	0	0	0
Loan without interest (against subsidy)	11,15,636	0	0	0	0	0	0	0
Net profit after tax	0	-49,095	22,784	66,652	1,19,315	1,38,504	1,58,747	1,76,000
Add: depreciation	0	4,29,431	3,65,566	3,11,227	2,64,989	2,25,641	1,92,155	1,63,658
Add: AMC and insurance from TFO	0	43,933	13,967	0	0	0	0	0
(A) Total sources	**29,57,450**	**4,24,269**	**4,02,317**	**3,77,879**	**3,84,304**	**3,64,145**	**3,50,902**	**3,39,658**
Purchase of assets (TFO)	29,57,450	0	0	0	0	0	0	0
Loan repayment (FA-4)	0	0	2,20,490	2,20,490	2,20,490	2,20,490	2,20,492	0
Drawings by the owner (FA-6)	0	0	13,670	39,991	71,589	83,102	95,248	1,05,600
(B) Total uses	**29,57,450**	**0**	**2,34,160**	**2,60,481**	**2,92,079**	**3,03,592**	**3,15,740**	**1,05,600**
(C) Net cash flow (A – B)	**0**	**4,24,269**	**1,68,157**	**1,17,398**	**92,225**	**60,553**	**35,162**	**2,34,058**
Opening cash balance	0	0	4,24,269	5,92,426	7,09,824	8,02,049	8,62,602	8,97,764
(D) Closing cash balance	**0**	**4,24,269**	**5,92,426**	**7,09,824**	**8,02,049**	**8,62,602**	**8,97,764**	**11,31,822**

Year 0 = set-up (2026-27). The subsidy stays in the Subsidy Reserve Fund and is set off against the loan without interest in Year VI – no cash moves. Cash stays positive every year.

FA-8 Projected balance sheet (31 March) and ratios (Rs)

Balance sheet	0 (set-up) 2026-27	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34
Owner's capital (margin + profit kept)	7,39,362	6,90,267	6,99,381	7,26,042	7,73,768	8,29,170	8,92,669	9,63,069
Capital subsidy (Govt. grant)	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636
Loan with interest	11,02,452	11,02,452	8,81,962	6,61,472	4,40,982	2,20,492	0	0
Loan without interest	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	0	0
(A) Total liabilities	**40,73,086**	**40,23,991**	**38,12,615**	**36,18,786**	**34,46,022**	**32,80,934**	**20,08,305**	**20,78,705**
Machinery and shed, net of depreciation (FA-3)	28,99,550	24,70,119	21,04,553	17,93,326	15,28,337	13,02,696	11,10,541	9,46,883
Prepaid AMC and insurance	57,900	13,967	0	0	0	0	0	0
Subsidy Reserve Fund (with the bank)	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	0	0
Cash balance (FA-7)	0	4,24,269	5,92,426	7,09,824	8,02,049	8,62,602	8,97,764	11,31,822
(B) Total assets	**40,73,086**	**40,23,991**	**38,12,615**	**36,18,786**	**34,46,022**	**32,80,934**	**20,08,305**	**20,78,705**
Current ratio	–	1.99	2.69	3.22	3.64	3.91	–	–
Debt–equity ratio	0.59	0.61	0.49	0.36	0.23	0.11	0.00	0.00
Fixed asset coverage ratio	2.63	2.24	2.39	2.71	3.47	5.91	–	–
DSCR (FA-5)	–	7.41	1.64	1.58	1.64	1.59	1.57	–

The loan without interest and the Subsidy Reserve Fund cancel out in Year VI. Current ratio = (cash + prepaid) ÷ next year's instalments; debt–equity = loan with interest ÷ (capital + subsidy); fixed asset coverage = net fixed assets ÷ loan with interest.

FA-9 Break-even analysis (Rs)

Break-even	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34
Hire income	13,75,500	16,54,283	18,24,535	20,03,822	20,64,266	21,26,082	21,89,931
Variable costs (fuel, wages, shifting, repairs, small implements)	8,27,084	10,92,226	12,77,101	14,59,995	15,48,470	16,31,134	17,10,242
(A) Contribution	**5,48,416**	**5,62,057**	**5,47,434**	**5,43,827**	**5,15,796**	**4,94,948**	**4,79,689**
Fixed costs – AMC, insurance, misc.	1,01,933	1,10,867	1,19,945	1,23,142	1,28,499	1,34,124	1,40,031
Fixed costs – interest, depreciation	4,95,578	4,28,406	3,60,837	3,01,370	2,48,793	2,02,077	1,63,658
(B) Total fixed costs	**5,97,511**	**5,39,273**	**4,80,782**	**4,24,512**	**3,77,292**	**3,36,201**	**3,03,689**
Net profit before tax (A – B)	-49,095	22,784	66,652	1,19,315	1,38,504	1,58,747	1,76,000
Break-even (% of planned use) = B ÷ A	109.0%	95.9%	87.8%	78.1%	73.1%	67.9%	63.3%
Planned use of capacity	60%	70%	75%	80%	80%	80%	80%
Break-even (% of full capacity)	**65.4%**	**67.2%**	**65.9%**	**62.4%**	**58.5%**	**54.3%**	**50.6%**
Cash break-even (% of full capacity)	18.4%	21.6%	23.2%	23.5%	23.5%	23.3%	23.4%

Variable costs change with the hours worked; the rest are fixed. Break-even is 65.4% of capacity in Year I, a little above the 60% planned, so Year I shows a small book loss. From Year II the CHC works above break-even, and by Year VII break-even falls to 50.6% against 80% planned. Cash break-even (without depreciation) is only 18.4% in Year I, so cash stays positive.